

Mapping capex by private sector: Well begun

The **Ministry** of Statistics and Programme Implementation (MoSPI) **has** released the first ever “Forward-Looking Survey on Private Sector CAPEX Investment Intentions”. Capex essentially refers to capital expenditure, which means money spent towards the creation of long-term productive assets in the economy. As the survey **underscores**, “capex is fundamental to expanding production capacity, **thereby** serving as a **catalyst** for **accelerated** economic growth. This **growth**, in turn, **supports** job creation and enhances labour **productivity**.” For a developing economy such as India, high growth rate in capex is central to achieving the **ambition** of becoming a **prosperous** nation and **transitioning** to becoming a developed country. The survey was conducted between November 2024 and January 2025. The primary **objective** of this survey **is** to estimate the capex trends of private corporate sector enterprises for five years: From the past three financial years (2021-22, 2022-23 and 2023-24, in the current **instance**) along with **anticipated** capital expenditure for the current year (2024-25, in this instance) and the upcoming financial year (2025-26).

Out of a total of 3,064 responding enterprises, only 2,172 reported their capex data (actual and intentions) for the full five-year period. Even though the survey was conducted under the Collection of Statistics Act, 2008, MoSPI noted that many companies had **reservations** about sharing data, **thanks to** concerns relating to **legitimacy** and cyber-risks. As a result, even MoSPI advises caution when reading the data. “As this is the first round of the survey, the **findings** may be seen as indicative and subject to **refinement** in future **iterations**,” it says. On the whole, the data shows sharp **fluctuations** in private capex from one year to another — **varying** from Rs 3.9 trillion in FY22 to Rs 5.7 trillion in FY23, then falling to Rs 4.2 trillion in FY24 before rising to Rs 6.6 trillion in FY25 and then falling to as low as Rs 4.9 trillion in FY26. The year on year variations are so **substantial** that one can **draw** very different **conclusions** based on the year chosen for analysis. For instance, between FY22 and FY25, the capex grew by 66 per cent but if you add the current year (FY26), the overall growth fell to 23 per cent.

Even so, the survey underscores the **existing notion** that private sector capex has not grown fast enough. The Union government’s **capex**, for instance, **grew** by 230 per cent in the five years between FY21 and FY25. The **government** under Prime Minister Narendra Modi **has** been trying to **incentivise** private sector capex because it believes that only when the private sector starts investing can India make the economic transition. **To that end**, it is a welcome move that the government has now started formally mapping capex by the private sector. In the coming years, it will further help **policymakers** and corporations in making better choices.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

Vocabulary

1. **Underscore** (verb) – emphasize, highlight, stress, reinforce, accentuate ज़ोर देना
2. **Thereby** (adverb) – thus, as a result, hence, accordingly, consequently इस प्रकार / जिससे
3. **Catalyst** (noun) – trigger, stimulant, driver, accelerator, spark उत्प्रेरक
4. **Accelerate** (verb) – speed up, hasten, quicken, advance, boost तेज़ करना / गति देना
5. **Productivity** (noun) – efficiency, output, performance, effectiveness, yield उत्पादकता
6. **Ambition** (noun) – aspiration, goal, aim, objective, desire महत्त्वाकांक्षा
7. **Prosperous** (adjective) – wealthy, flourishing, thriving, affluent, well-off समृद्ध
8. **Transition** (verb) – shift, change, move, convert, evolve परिवर्तन करना
9. **Instance** (noun) – example, case, occurrence, illustration, event उदाहरण / मामला
10. **Anticipate** (verb) – expect, foresee, predict, estimate, look forward to अपेक्षा करना
11. **Reservation** (noun) – hesitation, doubt, concern, apprehension, misgiving संकोच / शंका
12. **Thanks to** (phrase) – due to, because of, owing to, on account of, as a result of की वजह से
13. **Legitimacy** (noun) – validity, legality, authenticity, lawfulness, acceptability वैधता
14. **Findings** (noun) – results, conclusions, outcomes, data, observations निष्कर्ष
15. **Refinement** (noun) – improvement, enhancement, polishing, modification, fine-tuning परिष्कार
16. **Iteration** (noun) – version, repetition, cycle, edition, rerun पुनरावृत्ति / दोहराव
17. **Fluctuation** (noun) – variation, swing, instability, shift, inconsistency उतार-चढ़ाव
18. **Vary** (verb) – differ, change, fluctuate, shift, alternate भिन्न होना / बदलना
19. **Substantial** (adjective) – significant, considerable, large, meaningful, major पर्याप्त / महत्वपूर्ण
20. **Draw conclusion** (phrase) – infer, deduce, come to a decision, interpret, determine निष्कर्ष निकालना

21. **Existing** (adjective) – current, present, prevailing, in place, ongoing मौजूदा
22. **Notion** (noun) – idea, belief, view, concept, perception धारणा
23. **Incentivise** (verb) – encourage, motivate, stimulate, promote, reward प्रोत्साहित करना

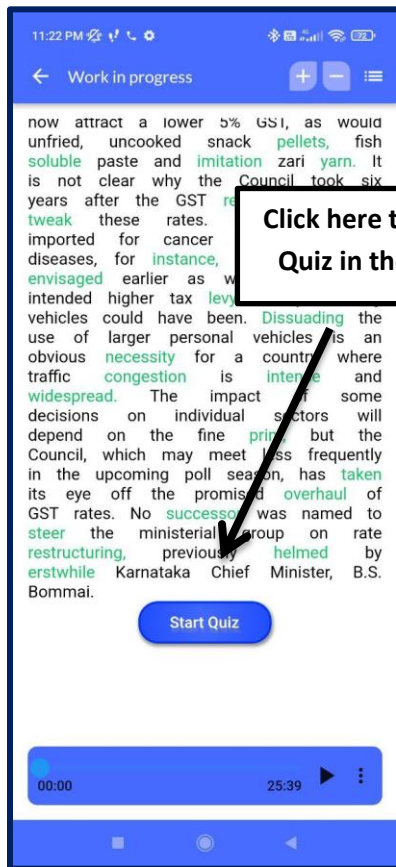
24. **To that end** (phrase) – for that purpose, in pursuit of that goal, with that aim, accordingly, so उस उद्देश्य के लिए
25. **Policymaker** (noun) – decision-maker, lawmaker, authority, planner, administrator नीति निर्माता

@mocks_wallah

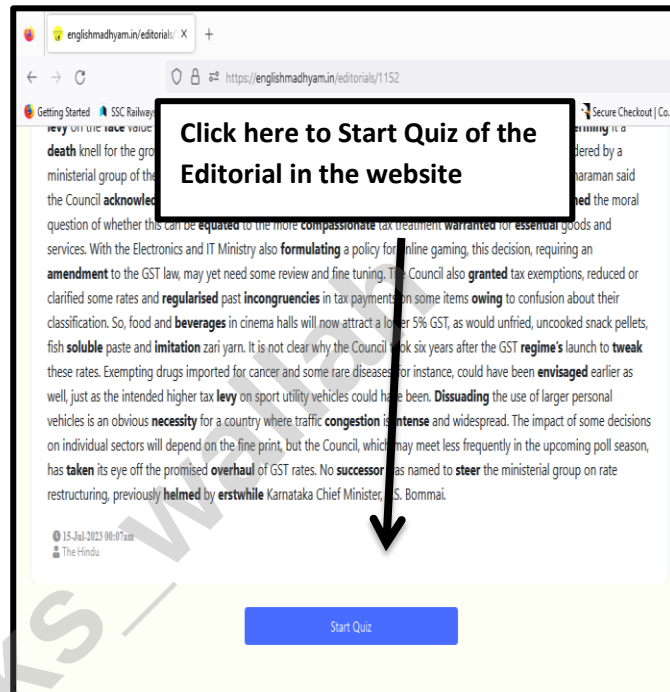
Summary of the Editorial

1. The Ministry of Statistics and Programme Implementation (MoSPI) released its first Forward-Looking Survey on Private Sector Capex Investment Intentions.
2. Capex (capital expenditure) refers to long-term investments in productive assets that drive economic growth, job creation, and labour productivity.
3. For India, increasing capex is vital to achieve its goal of becoming a developed and prosperous nation.
4. The survey covers five financial years: FY22, FY23, FY24 (past), FY25 (current), and FY26 (anticipated).
5. The survey was conducted between November 2024 and January 2025.
6. Out of 3,064 surveyed companies, only 2,172 provided complete five-year data, citing concerns over data privacy and cyber risks.
7. Due to limited participation and being the first of its kind, the survey findings are considered indicative and subject to refinement in future rounds.
8. The data reveals high year-on-year fluctuations in private sector capex.
9. Capex grew from ₹3.9 trillion in FY22 to ₹5.7 trillion in FY23, fell to ₹4.2 trillion in FY24, rose to ₹6.6 trillion in FY25, and is expected to fall to ₹4.9 trillion in FY26.
10. These variations show that interpretations can change significantly based on which years are considered.
11. For instance, capex grew 66% from FY22 to FY25, but when FY26 is included, the growth drops to 23%.
12. The survey confirms the general belief that private sector capex has not grown at a desired pace.
13. In contrast, government capex rose by 230% from FY21 to FY25.
14. The Modi government has actively tried to encourage private investment to complement public spending and stimulate economic transformation.
15. Mapping private sector capex is a constructive step that will aid better decision-making for both policymakers and businesses in the future.

Practice Exercise: Banking Pattern Based



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